Bristol City Football Club Limited

Annual Report and Financial Statements
Year Ended 31 May 2022

Registration number: 03230871

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Bristol City Football Club Limited

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Bristol City Football Club Limited

Company Information

Chairman	J S Lansdown
Directors	G T Marshall
	R A Gould
Company secretary	G T Marshall
Registered office	Ashton Gate Bristol BS3 2EJ
Solicitors	Burges Salmon LLP One Glass Wharf Bristol BS2 0ZX
Bankers	Barclays Bank plc Bristol & North Somerset Group PO Box 207 Bristol BS2 0ZX
Auditors	PKF Francis Clark Statutory Auditor Ground Floor Blackbrook Gate 1 Blackbrook Business Park Taunton Somerset TA1 2PX

Bristol City Football Club Limited

Strategic Report for the Year Ended 31 May 2022

The directors present their strategic report for the year ended 31 May 2022.

Review of the business
The overall Company loss before tax this year was £26.8m (2021 - £34.8m).

This has been a challenging period due to the recovery from the world-wide pandemic, and the ongoing uncertainty over the threat of the return of Covid-19. Fortunately, all matches were able to be played in front of full attendances, and only one match was postponed due to Covid-19.

On the pitch, the 2021/22 season was our seventh consecutive season in the EFL Championship. Nigel Pearson was confirmed as permanent manager on 29 April 2021 on a three-year contract. There were changes in the senior coaching team as both Keith Downing and Paul Simpson left their roles as Assistant Managers of the Club in October 2021. They were replaced by Curtis Fleming, who had been working at the Club in an interim capacity since August 2021, and, in June 2022, by Jason Euell.

The Club experienced a mixed set of results throughout the season, and was unable to sustain any real momentum, without ever really being in danger of being pulled into the relegation zone either. Two consecutive wins, and a victory by a margin in excess of one goal, were not achieved until April 2022. Ultimately, the Club finished in 17th position in the Championship with a total of 55 points. This represented a slight improvement on 19th position in the 2020/21 season.

There were some significant highlights in the 2021/22 season. Andreas Weimann became the first player to score in excess of 20 league goals since Tammy Abraham in the 2016/17 season, and there was a noticeable amount of game time given to Academy graduates. In a match against Millwall on 2 January 2022, seven players out of the starting eleven had progressed to the first team from the Academy. The management team is proactive when it comes to giving young players their chance in the first team. This is important as it shows our young players that they will be given first-team football if they display the requisite ability and temperament.

Bristol City Women's Football Club ("BCWFC") completed their season and finished in an encouraging 3rd position out of 12 teams in the FA Women's Championship. BCWFC will compete in the FA Women's Championship again in the 2022/23 season and, following a season in which consolidation was necessary after relegation, now look to be in a strong position to fight for promotion back to the Women's Super League.

There is no doubt that the economic damage caused by the Covid-19 pandemic had an adverse financial impact on all EFL Clubs, and the Club is continuing to recover from that. The reduced income and the resultant uncertainty over financial security has led to a continued significant reduction in player sales. However, the EFL's introduction of temporary amendments and adjustments to the financial fair play regulation calculations and threshold in lieu of Covid has aided the Club in complying with the financial regulations that all EFL Championship clubs are required to adhere to.

The Robins High Performance Centre ("RHPC") has enjoyed an excellent first full year of operation and is home to the men's first team, the women's first team and the Academy. The colocation of the entire Club on one site is a major step forward and is already proving to be one of the Club's best investments. It is well worth the annual £1m expenditure, in addition to the up-front cost of £17m.

Accordingly, the board would like to formally acknowledge the very generous financial support provided by Pula Sport Limited and ultimately Steve and Maggie Lansdown. Finally, we would like to thank all our hardworking staff for their continued contributions, and the loyal support from our fans, throughout the year.

Strategic Report for the Year Ended 31 May 2022

The company's key financial and other performance indicators during the year were as follows:

(i) Average league attendance - 19,196 (2021 - Nil)

(ii) Final league position - 17th (2021 - 19th) in the Championship, meaning that the 2022/23 season will be spent in the Championship

(iii) Season ticket holders - 14,011 (2021 - Nil)

(iv) Total gate revenue up £4,458,671 (632%) (2021 - down £4,023,741 (84%))

(v) Central distributions from broadcasting, the Football League and solidarity payments up £428,996 (5%) (2021 - down £385,561 (5%))

(vi) Loss excluding player trading - £20.1m (2021 - £29.5m)

(vii) Net loss on player trading - £7.2m (2021 - £6.2m)

(viii) Loss before tax - £26.8m (2021 - £34.8m)

In isolation, this season looks to be a huge improvement on the prior season. However, the 2020/21 season was fundamentally impacted by Covid-19, and the restrictions that were imposed across the country.

Turnover increased by 39% and reached £16.6m in this financial year (2021 - £11.9m). Ticketing income grew by £4.5m as it was positively affected by the return of crowds to football stadiums; all matches in the 2020/21 financial year were played behind closed doors, with the only ticketing income recognised in the prior season relating to the final five home games of the delayed 2019/20 season. The return of the crowds resulted in an expected reduction in both streaming income and the broadcast of live games. However, having spectators in Ashton Gate facilitated a boost to our secondary spend with revenue from hospitality and kiosks, increasing our other commercial and retail income by 70%. Greater confidence on the financial outlook for the football industry, and a solidarity payment from UEFA for two of our players participating in Euro 2020, contributed to a sizeable increase in our funding from governing bodies.

Overall, the Club recorded a loss before tax of £26.8m (2021 - £34.8m). The bulk of this improvement can be seen in the reduced staffing costs in the 2021/22 financial year, with the increase in other expenses largely relating to the hosting of games, running of the RHPC and having a full Academy programme in place. As in previous years, the Academy requires significant continued investment. This is a conscious decision taken by the Club as the up-front costs are well-balanced by the benefit the first team receives from Academy graduates, and the potential revenue from player sales.

The clear and noticeable decline in the player trading market has continued to impact the Club, with profit on player sales reducing again during the 2021/22 season and showing minimal signs of returning to their pre-pandemic levels. The bulk of the profit on player sales received in the year of £1.3m (2021 - £6.2m) relates to contingent payments from transfer agreements entered into in previous seasons, which further evidences the contraction of the transfer market.

The balance sheet includes £0.7m (2021 - £11.5m) of amounts receivable in respect of transfer fees, and £1.7m (2021 - £6.4m) of amounts payable in respect of transfer fees. The increase in loans and borrowing is predominantly due to an unsecured loan of £17m being replaced with a formal interest-bearing loan facility, secured against the RHPC, on 1 June 2021. Deferred income of £3.1m (2021 - £3.0m) relates solely to season ticket sales for the upcoming season and has stayed largely consistent with the prior year.

During the year 15,305,640 ordinary shares were allotted to Bristol City Holdings Limited for an aggregate consideration of £15,305,640 by way of a debt-to-equity swap. The capital subscription, combined with the loss for the year has resulted in the company having net liabilities of £3.7m (2021 - net assets of £7.7m) at 31 May 2022.

Strategic Report for the Year Ended 31 May 2022

Principal risks and uncertainties

The principal risk to the company is the cost-of-living crisis that is prevalent across the country. The rising costs of necessary areas of expenditure such as utilities, food and wages is exacerbated further by the reduction in disposal income of supporters, which will have a negative impact on ticketing, retail and hospitality sales. However, the continuing financial support of Pula Sport Limited and the ultimate controlling parties, Mr & Mrs S P Lansdown, as has been demonstrated during the past 12 months to 31 May 2022, and as explained in the going concern accounting policy, is critical.

Future developments

The Club continues to pursue a strategy of sustainable development for our football team, and the wider Bristol Sport group. The Club has a strong working relationship with the EFL and has been in close contact with the EFL to ensure compliance with the existing financial fair play regulations. Additionally, the Club will need to be prepared for the proposed changes to the financial fair play regulations that could be introduced from Summer 2023.

Approved by the Board on 27th October 2022 and signed on its behalf by:

.....
R A Gould
Director

Bristol City Football Club Limited

Directors' Report for the Year Ended 31 May 2022

The directors present their report and the financial statements for the year ended 31 May 2022.

Directors of the company
The directors who held office during the year were as follows:

D J Harman (resigned 31 May 2022)

J S Lansdown - Chairman

G T Marshall

R A Gould (appointed 14 June 2021)

Principal activity
The principal activity of the company is the running of a professional football club.

Financial instruments

Objectives and policies

The directors have reviewed the financial risk management objectives and policies of the company. They do not believe there to be significant risks in this area. The company does not enter into any hedging instruments as there are not believed to be any material exposures. It does not enter into any financial instruments for speculative purposes.

Price risk, credit risk, liquidity risk and cash flow risk

Appropriate trade terms are negotiated with suppliers and customers. Management reviews these terms, the relationship with suppliers and customers and manages any exposure on normal trade terms. The company prepares regular forecasts of cash flow and liquidity and any requirement for additional funding is managed by the directors on a needs basis.

Future developments
The company has taken advantage of Section 414C (11) of the Companies Act 2006 and included details of future developments in the Strategic Report.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditors are unaware.

Approved by the Board on 27 October 2022 and signed on its behalf by:

.....
R A Gould
Director

Statement of Directors' Responsibilities

The directors acknowledge their responsibilities for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Bristol City Football Club Limited

Independent Auditor's Report to the Members of Bristol City Football Club Limited

Opinion

We have audited the financial statements of Bristol City Football Club Limited (the 'company') for the year ended 31 May 2022, which comprise the Profit and Loss Account, Balance Sheet, Statement of Changes in Equity, and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 May 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Independent Auditor's Report to the Members of Bristol City Football Club Limited

Opinion on other matter prescribed by the Companies Act 2006
In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

The key laws and regulations we identified were English Football League (EFL) Championship Profitability and Sustainability rules (P&S rules) and Employment legislation.

We also considered those laws and regulations that have a direct impact on the preparation of the financial statements, primarily Companies Act 2006 and Corporation Taxes Acts 2009 and 2010.

We discussed with management how the compliance with these laws and regulations is monitored and discussed policies and procedures in place. We also identified the individuals who have responsibility for ensuring that the entity complies with laws and regulations and deal with reporting any issues if they arise. As part of our planning procedures, we assessed the risk of any non-compliance with laws and regulations on the entity's ability to continue trading and the risk of material misstatement to the financial statements.

Based on this understanding we designed our audit procedures to identify non-compliance with such laws and regulations. Our procedures involved the following:

- Enquiries of management regarding their knowledge of any non-compliance with laws and regulations that could affect the financial statements;
- Review of relevant correspondence, documentation and calculations in respect of EFL P&S rules;
- Review of other relevant correspondence, reports and documentation;
- Review of legal and professional costs to identify any possible non-compliance or legal costs in respect of non-compliance; and
- Reviewed Board minutes.

As part of our enquiries we discussed with management whether there have been any known instances, allegations or suspicions of fraud, of which management confirmed there had been none during or after the period.

We also evaluated the risk of fraud through management override. The key risks we identified was the potential manipulation of results in order to adhere to EFL P&S rules and maintain ongoing funding support from the ultimate owners. We determined that the principal risks were related to recognition of player contract movements, management override of controls, revenue recognition and recognition of all relevant creditors.

In response to the identified risk, as part of our audit work we:

- Reviewed recognition of player movements in conjunction with underlying contract evidence;
- Used data analytics to test journal entries throughout the year, for appropriateness;
- Undertook specific review of P&S calculations provided to the EFL;
- Reviewed estimates and judgements made in the accounts for any indication of bias and challenged assumptions used by management in making the estimates;
- Undertook substantive sample testing and global reconciliations on revenue;
- Undertook specific cut-off procedures in respect of revenue recognition; and
- Undertook testing on completeness of creditors.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements. This risk increases the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements as we are less likely to be come aware of instances of non-compliance. The risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment, collusion, omission or misrepresentation.

A further description of our responsibilities is available on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities (set out on page 6), the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Independent Auditor's Report to the Members of Bristol City Football Club Limited

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

.....

Nicholas Farrant BA MSc FCA (Senior Statutory Auditor)
PKF Francis Clark, Statutory Auditor

Ground Floor
Blackbrook Gate 1
Blackbrook Business Park
Taunton
Somerset
TA1 2PX

Date: 27 October 2022

Bristol City Football Club Limited

Profit and Loss Account

Year Ended 31 May 2022

	Note	2022 £	2021 £
Turnover	3	16,648,738	11,903,469
Other operating income	4	311,904	510,549
Staff costs		(23,807,941)	(30,251,600)
Depreciation and amortisation expense		(9,406,214)	(12,833,174)
Other expenses		(11,319,870)	(10,431,326)
Operating loss	5	(27,573,383)	(41,102,082)
Profit on disposal of players' contracts		1,251,092	6,172,857
Loss before interest and taxation		(26,322,291)	(34,929,225)
Loss excluding player trading		(20,135,082)	(29,514,751)
Player trading*		(6,187,209)	(5,414,474)
Other interest receivable and similar income	9	17,908	519,684
Interest payable and similar charges	10	(501,745)	(391,005)
Loss before tax		(26,806,128)	(34,800,546)
Taxation	11	30,815	-
Loss for the year		(26,775,313)	(34,800,546)

*Player trading comprises amortisation and impairment of players' contracts and the profit/loss on disposal of players' contracts.

Bristol City Football Club Limited

Balance Sheet

31 May 2022

	Note	2022 £	2021 £
Fixed assets			
Intangible assets	12	7,940,385	14,124,931
Tangible assets	13	16,793,945	17,617,454
Investments	14	100	100
		24,734,430	31,742,485
Current assets			
Debtors	15	4,098,719	14,412,543
Cash at bank and in hand	16	168,131	589,355
		4,266,850	15,001,898
Creditors: Amounts falling due within one year	17	(9,369,239)	(31,128,848)
Net current liabilities		(5,102,389)	(16,126,950)
Total assets less current liabilities		19,632,041	15,615,535
Creditors: Amounts falling due in more than one year	17	(20,305,884)	(4,884,483)
Deferred income	19	(3,088,317)	(3,023,539)
Net (liabilities)/assets		(3,762,160)	7,707,513
Capital and reserves			
Called up share capital	22	171,435,510	156,129,870
Profit and loss account		(175,197,670)	(148,422,357)
Shareholders' funds/ (deficit)		(3,762,160)	7,707,513

Approved and authorised by the Board on 27 October 2022 and signed on its behalf by:

R A Gould
Director

Company Registration Number: 03230871

Bristol City Football Club Limited

Statement of Changes in Equity

Year Ended 31 May 2022

	Share capital £	Profit and loss account £	Total £
At 1 June 2021	156,129,870	(148,422,357)	7,707,513
Loss for the year	-	(26,775,313)	(26,775,313)
Total comprehensive income	-	(26,775,313)	(26,775,313)
New share capital subscribed	15,305,640	-	15,305,640
At 31 May 2022	171,435,510	(175,197,670)	(3,762,160)

	Share capital £	Profit and loss account £	Total £
At 1 June 2020	129,873,935	(113,621,811)	16,252,124
Loss for the year	-	(34,800,546)	(34,800,546)
Total comprehensive income	-	(34,800,546)	(34,800,546)
New share capital subscribed	26,255,935	-	26,255,935
At 31 May 2021	156,129,870	(148,422,357)	7,707,513

1 General information

The company is a private company limited by share capital; incorporated in England & Wales.

The address of its registered office is:
Ashton Gate
Bristol
BS3 2EJ

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Statement of compliance
These financial statements were prepared in accordance with Financial Reporting Standard 102 - 'The Financial Reporting Standard applicable in the UK and Republic of Ireland', and the Companies Act 2006. There are no material departures from FRS 102.

Basis of preparation
These financial statements have been prepared using the historical cost convention.

Summary of disclosure exemptions
The company meets the definition of a qualifying entity under FRS 102 and has therefore taken advantage of the disclosure exemptions available to it in respect of its individual financial statements. Exemptions have been taken in relation to presentation of a cash flow statement, intra-group transactions and remuneration of key management.

Group accounts not prepared
The financial statements contain information about Bristol City Football Club Limited as an individual company and do not contain consolidated financial information as the parent of a group.

The company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Bristol City Holdings Limited, a company incorporated in England & Wales. The registered office of Bristol City Holdings Limited is: Ashton Gate, Bristol, BS3 2EJ.

Going concern

In accordance with their responsibilities, the directors have considered the appropriateness of the going concern basis for the preparation of the financial statements.

The company made a loss for the financial year and net current liabilities as at 31 May 2022 were £5.1m (2021 - £16.1m). The financial position improved versus prior year as match day revenue increased with crowds returning following the removal of lockdown restrictions. In addition, a short-term loan from the ultimate parent company was converted into a loan facility held against the Robins High Performance Centre which further reduced the current liability position. The continued reduction and restriction on player trading activity continues to be a fundamental contributor to the loss-making position and it is anticipated that the cost-of-living crisis that is engulfing the country may also lead to a fall in matchday revenue. Net current liabilities include creditors due within one year of £9.4m (2021 - £31.1m), of which £0.3m (2021- £16.7m) are intra group.

The directors are satisfied that, whilst there can be no certainty as to the specific longer-term implications for professional football as a result of Covid-19 or the cost-of-living crisis, there are no material uncertainties in respect of the going concern status of the company.

The club continues to be dependent on the financial support of its parent company, Pula Sport Limited, to ensure adequate access to funding and working capital. This support is particularly important as the company rebuilds its reserves following the adverse impact of the pandemic. Pula Sport Limited is a company owned and controlled by Mr & Mrs S P Lansdown that invests in the group via debt and equity injections. Evidence of the long-term commitment of Pula Sport Limited and Mr & Mrs S P Lansdown is the debt-to-equity swap which took place in the year in Bristol City Holdings Limited and Bristol City Football Club Limited. Pula Sport Limited has confirmed its ongoing support for the company going forward.

The directors are confident that, after taking into account the recovery of match day and commercial revenues and the commitment by Pula Sport Limited, the company (and wider Bristol City Holdings Limited group) will have sufficient working capital until the end of the 2022/23 season and for the foreseeable future, being not less than 12 months from the date of approval of these financial statements. The directors are also confident that the club will continue to be compliant with the English Football League Championship Profitability and Sustainability rules.

Accordingly, the directors consider it appropriate to prepare these financial statements on a going concern basis.

Key accounting judgements and sources of estimation uncertainty
In the application of the company's accounting policies management is required to make judgements, estimates and assumptions about the carrying values of assets and liabilities that are not readily apparent from other sources. The estimates and underlying assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

The key judgement which has a significant effect on the financial statements is in respect of going concern, as described in the accounting policy above.

The key estimates that have a significant effect on the amounts recognised in the financial statements are described below:

Land and buildings
Properties are carried at cost, less accumulated depreciation and any subsequent accumulated impairment loss. This requires an estimation in the depreciation rates used as well as assessment of the loss excluding player trading as to whether an indicator of permanent impairment has occurred. There is estimation in respect of the assumptions regarding future cash generation in respect of the player performance, attracting gate receipts and broadcasting revenue. The carrying amount at the year end is £15,958,518 (2021 - £16,633,541).

Player contracts
The costs associated with acquiring players' registrations, or extending their contracts, is carried at cost, less accumulated amortisation and accumulated impairment losses. The carrying value of players' contracts is reviewed for impairment in light of post year end performance, injuries and the sales value achieved for any players sold to other clubs. This review requires significant estimation by management in respect of player performance and value in the player market. The carrying amount at the year end is £7,940,385 (2021 - £14,122,109).

Intercompany debtor recoverability
Estimation is required by management as to the recoverability of debtor amounts due from group companies and the amount of any provision required against the debt at the year end. The value of provisions against intercompany debtors at the year end is £1,423,912 (2021 - £925,000).

Tax
Tax is recognised in profit or loss, except that a charge attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The company receives/passes some tax losses from/to fellow group companies via group relief. It makes/receives payment for these losses at the average rate of tax for the financial period in which the losses are relieved.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date. Timing differences are differences between the group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements.

Deferred tax is measured on an undiscounted basis at the tax rates that are expected to apply in the periods in which timing differences reverse, based on tax rates and laws enacted or substantively enacted at the balance sheet date. Deferred tax assets in respect of tax losses carried forward are not recognised as they do not meet the recognition criteria set out in FRS 102 given there is no certainty as to when the losses will be utilised.

UK Research and Development tax incentive regimes
The company accounts for amounts claimed under the RDEC scheme as other income.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date.

Government grants
Government revenue grants are accounted for under the accruals method. These are credited to the profit and loss account when the company is entitled to the income.

Intangible assets
Intangible assets are stated in the balance sheet at cost, less any subsequent accumulated amortisation and subsequent accumulated impairment losses.

Players' contracts and transfer fees
The costs associated with acquiring players' registrations or extending their contracts are capitalised as intangible assets and amortised, in equal instalments, over the period of the respective players' contracts. Where a contract is renegotiated prior to the expiry of its original term, the net book value at that time, and any new costs relating to the contract extension, are amortised over the remaining revised contract life.

Under the conditions of certain transfer agreements or contract renegotiations, further fees will be payable in the event of the players concerned making a certain number of first-team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfer fees are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

Provision is made for any impairment and player registrations are written down when the carrying amount exceeds the amount recoverable through use or sale.

Profit on disposal of players' contracts
Profits or losses arising on the disposal of players' contracts are credited or charged to the profit and loss account in the year in which the player is sold. They are calculated as the difference arising between the transfer fees received and the net book value of the contracts at the time of this disposal.

Software
Software is in respect of website and IT software costs capitalised. This is amortised on a straight line basis over 4 years.

Tangible assets
Tangible assets are stated in the balance sheet at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of tangible assets includes directly attributable incremental costs incurred in their acquisition and installation.

Assets under construction represents the development of the training ground. Depreciation is not charged on assets under construction. Upon formal completion of each stage of the development the cost of assets will be transferred to the freehold buildings category.

Depreciation
Depreciation is provided on tangible fixed assets, other than freehold land and assets under construction, so as to write off the cost or valuation, less any estimated residual value, over their expected useful economic lives as follows:

Asset class	Depreciation method and rate
Leasehold land & buildings	Over the term of the lease
Freehold buildings	10 years straight line
Plant and machinery	7 years straight line
Fixtures and fittings	5 years straight line
Motor vehicles	4 years straight line

Investments
Investments in subsidiaries where the shares are not publicly traded and where fair value cannot be reliably measured are stated at historical cost less provision for any diminution in value.

Leases
Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee.

Assets held under finance leases are recognised at the lower of their fair value at inception of the lease and the present value of the minimum lease payments. These assets are depreciated on a straight-line basis over the shorter of the useful life of the asset and the lease term. The corresponding liability to the lessor is included in the Balance Sheet as a finance lease obligation.

Lease payments are apportioned between finance costs in the Profit and Loss Account and reduction of the lease obligation so as to achieve a constant periodic rate of interest on the remaining balance of the liability.

Turnover
Turnover comprises the fair value of the consideration received or receivable for matchday revenue, including ticket sales, broadcasting revenue, internet receipts and grants, Football League funding, comprising central funding and solidarity payments, and other commercial and related income, in respect of sponsorship, hospitality and advertising. Turnover is shown net of value added tax, returns, rebates and discounts.

Income is recognised as follows:
Income from matchday revenue, season tickets, broadcasting revenue is recognised when the related matches are played. Income from advance ticket sales, including season tickets, is deferred accordingly;
Income from the Football League is recognised on a receivable basis; and
Income in respect of other commercial and retail income is recognised in the period to which it relates.

Cup ticket revenue is shown net of the gate share payable to the away team, as the company acts as agent. The gate share payable in the current year amounted to £22,105 (2021 - £Nil).

Defined contribution pension obligation
The company operates a defined contribution pension scheme to which it contributes for members. The company also contributes to some employee's personal pension plans. Contributions are charged in the profit and loss account as they become payable in accordance with the rules of the scheme.

Financial instruments

Classification

The company holds the following financial instruments:

- Short term trade and other debtors and creditors;
- Short term intra-group debtors and creditors;
- Debtors and creditors in relation to transfer fees;
- Long term other borrowings at below market rate; and
- Cash and bank balances.

All financial instruments are classified as basic.

Recognition and measurement

Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument and derecognised when in the case of assets, the contractual rights to cash flows from the assets expire or substantially all the risks and rewards of ownership are transferred to another party, or in the case of liabilities, when the company's obligations are discharged, expire or are cancelled.

Short term trade, intra-group, transfer fee and other debtors and creditors and cash and bank balances are initially measured at transaction price, including transaction costs, and are subsequently carried at the undiscounted amount of the cash or other consideration expected to be paid or received, after taking account of impairment adjustments.

Long term debtors and creditors in relation to transfer fees constitute a financing transaction and are measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument at inception. As the discount unwinds it is charged/ credited to the Profit and Loss account.

Long term other borrowings constitute a financial transaction because they are at a below market rate of interest. Such loans re measured at the present value fo the future payments, discounted at a market rate of interest for a similar debt instrument.

3 Revenue

The analysis of the company's revenue for the year from continuing operations is as follows:

	2022 £	2021 £
Sale of goods	160,092	70,000
Rendering of services	3,188,588	3,982,071
Ticket sales	5,163,724	705,053
Football League income	8,136,334	7,146,345
	16,648,738	11,903,469

The analysis of the company's turnover for the year by class of business is as follows:

	2022	2021
	£	£
Matchday revenue	1,991,589	-
Season tickets	3,172,135	705,053
Broadcasting revenue	321,390	912,390
Football League pool	3,336,334	2,496,345
Solidarity payment	4,800,000	4,650,000
Other football related income	1,276,291	2,112,381
Other commercial and retail income	1,750,999	1,027,300
	16,648,738	11,903,469

All turnover arose within the United Kingdom.

4 Other operating income

The analysis of the company's other operating income for the year is as follows:

	2022	2021
	£	£
Government grants	311,904	510,549

Income in respect of government grants relates to £23,497 (2021 - £510,549) for the Coronavirus Job Retention Scheme and £288,407 (2021 - £Nil) for the Research and Development tax credit which is recognised as taxable income.

5 Operating loss

Arrived at after charging:

	2022	2021
	£	£
Depreciation expense	959,963	474,791
Amortisation expense	7,441,123	11,613,136
Impairment loss	1,005,128	745,247
Foreign exchange (gains)/losses	67,261	15,007
Loss on disposal of property, plant and equipment	-	265,156

6 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	2022 £	2021 £
Wages and salaries	20,818,649	26,882,916
Social security costs	2,814,756	3,207,481
Pension costs, defined contribution scheme	174,536	161,203
	23,807,941	30,251,600

The average number of persons employed by the company (including directors) during the year, analysed by category was as follows:

	2022 No.	2021 No.
Office, coaching and management staff	126	130
Players	75	80
	201	210

7 Directors' remuneration

The directors' remuneration for the year was as follows:

	2022 £	2021 £
Remuneration	393,669	443,206
Contributions paid to money purchase pension schemes	17,244	43,253
	410,913	486,459

During the year the number of directors who were receiving benefits was as follows:

	2022 No.	2021 No.
Accruing benefits under money purchase pension scheme	3	3

In respect of the highest paid director:

	2022 £	2021 £
Remuneration	294,625	352,511
Contributions paid to money purchase pension schemes	9,444	27,874

8 Auditors' remuneration

	2022 £	2021 £
Audit of the financial statements	16,975	15,675

Included within these fees are the fees for the audit of the parent company, Bristol City Holdings Limited.

9 Other interest receivable and similar income

	2022 £	2021 £
Other finance income	17,908	519,684

Certain agreements for the sale of players' contracts include an element of deferred consideration. The deferred element of the consideration has, where a financial asset has been recognised, been discounted to its present value at the date of the contract, using a market rate of interest for a debt instrument of a similar amount and duration. Other finance income represents the unwinding of this discount to the period end.

10 Interest payable and similar expenses

	2022 £	2021 £
Interest on bank overdrafts and borrowings	7,383	22,913
Interest on obligations under finance leases and hire purchase contracts	5,504	-
Interest expense on other finance liabilities	87,715	368,092
Interest payable on loans from group undertakings	401,143	-
	501,745	391,005

11 Taxation

Tax charged/(credited) in the profit and loss account

	2022 £	2021 £
Current taxation		
R&D tax credit relating to prior periods	54,797	-
Group relief payable/(receivable)	(85,612)	-
	(30,815)	-

The tax on profit before tax for the year is higher than the standard rate of corporation tax in the UK (2021 - lower than the standard rate of corporation tax in the UK) of 19% (2021 - 19%).

The differences are reconciled below:

	2022 £	2021 £
Loss before tax	(26,806,128)	(34,800,546)
Corporation tax at standard rate	(5,093,164)	(6,612,104)
Effect of revenues exempt from taxation	(54,797)	-
Expenses not deductible for tax purposes	91,417	211,329
Deferred tax credit relating to changes in tax rates or laws	(1,569,768)	(8,185,320)
Increase in current tax from adjustment for prior periods	54,797	-
Deferred tax not recognised	6,540,700	14,586,095
Total tax credit	(30,815)	-

Deferred tax

There are £163,544,000 of unused tax losses (2021 - £136,410,000) for which no deferred tax asset is recognised in the Balance Sheet.

12 Intangible assets

	Players' contracts £	Computer software £	Total £
Cost or valuation			
At 1 June 2021	36,150,042	101,528	36,251,570
Additions acquired separately	2,261,704	-	2,261,704
Disposals	(3,528,464)	-	(3,528,464)
At 31 May 2022	34,883,282	101,528	34,984,810
Amortisation			
At 1 June 2021	22,027,933	98,706	22,126,639
Amortisation charge	7,438,301	2,822	7,441,123
Amortisation eliminated on disposals	(3,528,465)	-	(3,528,465)
Impairment	1,005,128	-	1,005,128
At 31 May 2022	26,942,897	101,528	27,044,425
Carrying amount			
At 31 May 2022	7,940,385	-	7,940,385
At 31 May 2021	14,122,109	2,822	14,124,931

13 Tangible assets

	Land and buildings £	Furniture, fittings and equipment £	Motor vehicles £	Plant and equipment £	Total £
Cost or valuation					
At 1 June 2021	16,833,593	972,211	126,644	477,829	18,410,277
Additions	-	69,385	-	67,069	136,454
At 31 May 2022	16,833,593	1,041,596	126,644	544,898	18,546,731
Depreciation					
At 1 June 2021	200,052	321,709	126,644	144,418	792,823
Charge for the year	675,023	199,309	-	85,631	959,963
At 31 May 2022	875,075	521,018	126,644	230,049	1,752,786
Carrying amount					
At 31 May 2022	15,958,518	520,578	-	314,849	16,793,945
At 31 May 2021	16,633,541	650,502	-	333,411	17,617,454

Included within the net book value of land and buildings above is £15,958,518 (2021 - £16,633,541) in respect of freehold land and buildings and £Nil (2021 - £Nil) in respect of long leasehold land and buildings.

Included within land and buildings is freehold land with a cost of £263,209 (2021 - £263,209) which is not depreciated.

14 Investments in subsidiaries

Subsidiaries	£
Cost or valuation	
At 1 June 2021 and 31 May 2022	100
Carrying amount	
At 31 May 2022	100
At 31 May 2021	100

Details of undertakings

Details of the investments in which the company holds 20% or more of the nominal value of any class of share capital are as follows:

Undertaking	Registered office	Holding	Proportion of voting rights and shares held 2022	2021
Subsidiary undertakings				
Bristol City Women Football Club Limited	Ashton Gate Bristol BS3 2EJ	Ordinary	100%	100%
Bristol Academy Women's Football Club Limited	South Gloucestershire and Stroud College Filton Avenue Filton Bristol BS34 7AT	Company limited by guarantee	0%	60%

Subsidiary undertakings

Bristol City Women Football Club Limited

The principal activity of Bristol City Women Football Club Limited is the running of a professional football club.

Bristol Academy Women's Football Club Limited

The principal activity of Bristol Academy Women's Football Club Limited is that of a dormant company. On 2 November 2021 the company was struck off.

15 Debtors

	2022 £	2021 £
Trade debtors	116,167	8,480
Amounts owed by group undertakings	1,630,154	1,511,824
Other debtors	241,695	434,387
Amounts receivable in respect of transfer fees	665,350	11,477,369
Prepayments and accrued income	1,211,743	980,483
Corporation tax debtor	233,610	-
Total current trade and other debtors	4,098,719	14,412,543

An impairment loss of £498,912 (2021 - £505,000) has been recognised against amounts owed by group undertakings during the year.

Details of trade and other debtors

£254,133 (2021 - £502,755) of amounts receivable in respect of transfer fees is classified as non current.

16 Cash and cash equivalents

	2022 £	2021 £
Cash on hand	-	921
Cash at bank	168,131	588,434
	168,131	589,355
Bank overdrafts	(1,968,254)	(645,817)
Cash and cash equivalents	(1,800,123)	(56,462)

17 Creditors

	Note	2022 £	2021 £
Due within one year			
Loans and borrowings	18	5,300,567	3,654,728
Trade creditors		241,751	266,233
Amounts due to group undertakings		250,241	16,738,202
Social security and other taxes		913,174	1,069,715
Other creditors		84,863	1,310,403
Amounts payable in respect of transfer fees		1,667,884	6,427,965
Accrued expenses		910,759	1,661,602
		9,369,239	31,128,848
Due after one year			
Loans and borrowings	18	20,083,379	3,864,102
Other creditors		7,494	-
Amounts payable in respect of transfer fees		215,011	1,020,381
		20,305,884	4,884,483

18 Loans and borrowings

	2022 £	2021 £
Current loans and borrowings		
Bank overdrafts	1,968,254	645,817
Hire purchase contracts	39,492	37,645
Other borrowings	3,292,821	2,971,266
	5,300,567	3,654,728

	2022 £	2021 £
Non-current loans and borrowings		
Hire purchase contracts	66,107	104,832
Other borrowings	20,017,272	3,759,270
	20,083,379	3,864,102

Bank borrowings

The bank overdraft is denominated in sterling with a nominal interest rate of 1.75% plus base rate, and is repayable on demand. The carrying amount at year end is £1,968,254 (2021 - £645,817).

The bank overdraft is secured by a limited guarantee given by S P Lansdown of £4,500,000 and an unlimited guarantee given by Ashton Gate Limited (fellow subsidiary).

Other borrowings

Hire purchase lease liabilities are denominated in sterling with a nominal interest rate of 4-6%, and the final instalment of the liabilities in existence at the balance sheet date is due on 31 January 2025. The carrying amount at year end is £105,599 (2021 - £142,477).

The first other borrowings is an interest free loan of £584,000 from the English Football League denominated in sterling. The loan is repayable in six instalments every six months beginning on 1 October 2021. The first five instalments being of £97,300 and a final instalment of £97,500. The final instalment is due on 1 April 2024. This loan, presented in accordance with FRS 102, was measured at the present value of the future payments discounted at a market rate of interest, had a carrying value as at 31 May 2022 of £387,185 (2021 - £577,383), with the unwinding of the discount being charged to the profit and loss account as an interest expense.

The second other borrowings is an interest free loan of £8,330,000 from the English Football League denominated in sterling. The loan is repayable in six instalments of £1,388,333 every six months beginning on 15 August 2021. The final instalment is due on 15 January 2024. This loan, presented in accordance with FRS 102, was measured at the present value of the future payments discounted at a market rate of interest, had a carrying value as at 31 May 2022 of £5,521,765 (2021 - £6,153,153), with the unwinding of the discount being charged to the profit and loss account as an interest expense.

The third other borrowings loan has been provided by Pula Sport Limited and is denominated in sterling with a nominal interest rate of 2% above the Barclays Bank base rate, and a final instalment due date of 31 May 2037. The carrying amount at the year end is £17,401,143 (2021 - £nil). The loan is secured by a floating charge over the undertaking and assets of the company. The loan is repayable in six instalments of £300,000 and £1,520,000 thereafter at annual intervals beginning on 1 December 2022, with the remaining balance being due in 2037. During the initial period, interest shall accrue daily and shall be capitalised on each interest payment date and added to the principle amount of the loan. Interest accrues where repayments fall due and are not made. Interest shall accrue from the date due until repaid at a rate of 3% per annum above the base rate of Barclays Bank plc.

Included in the loans and borrowings are the following amounts due after more than five years:

	2022 £	2021 £
After more than five years by instalments	15,901,143	-

19 Deferred income

	2022 £
At 1 June 2021	3,023,539
Released to profit during the year	(3,023,539)
Received during the year	3,088,317
At 31 May 2022	3,088,317

The deferred income balance at the year end consists of football season ticket income in respect of the 2022/23 season.

20 Obligations under leases

Operating leases
The total of future minimum lease payments is as follows:

	2022 £	2021 £
Not later than one year	31,080	20,136
Later than one year and not later than five years	55,168	13,844
	86,248	33,980

The amount of non-cancellable operating lease payments recognised as an expense during the year was £23,870 (2021 - £86,057).

21 Pension schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme and also contributes to certain employees' personal pension plans. The pension cost charge for the year represents total contributions payable and amounted to £174,536 (2021 - £161,203).

22 Share capital

Allotted, called up and fully paid shares

	2022		2021	
	No.	£	No.	£
Ordinary shares of £1 each	171,435,510	171,435,510	156,129,870	156,129,870

New shares allotted

During the year 15,305,640 Ordinary shares having an aggregate nominal value of £15,305,640 were allotted for an aggregate consideration of 15,305,640. The allotment was undertaken by way of a debt to equity swap.

Rights, preferences and restrictions

Ordinary shares have the following rights, preferences and restrictions:
The right to one vote per share held at general meetings.

23 Contingent assets

Contractual assets under contracts for the sale of players are expected to become receivable of £nil (2021 - £500,000) at various stages in the future contingent on the relevant players meeting certain performance conditions.

24 Contingent liabilities

Contractual liabilities under players' contracts may be payable of £108,872 (2021 - £245,465) at various stages in the future contingent on the relevant players meeting certain performance conditions.

25 Non adjusting events after the financial period

Since the end of the financial year, the company has contracted for the purchase and sale of various players. The net cash outflow from these transfers, taking into account the applicable levies and excluding value added tax, is £180,000 (2021 - outflow of £1,968,750). These transfers will be accounted for in the year ended 31 May 2023.

The company is also due to receive £472,000 (2020 - receivable £10,000) (excluding the contingent asset and liability described in Note 23 and Note 24) in respect of sell on clauses for players disposed of in previous years.

26 Related party transactions

Summary of transactions with other related parties
Fellow (non wholly owned) subsidiaries
During the year, the company recharged other expenditure to its fellow subsidiaries. The company recognised receivables/(payables) in respect of tax losses group relieved to/(by) fellow subsidiaries. The company made other purchases from its fellow subsidiaries.

Income and receivables from related parties

2022	Other related parties £
Expenditure recharged to related parties	6,112,956
Group relief receivable	85,612
	6,198,568
Amounts receivable from related parties	1,425,351

2021	Other related parties £
Expenditure recharged to related parties	4,169,491
Amounts receivable from related parties	1,321,488

Expenditure with and payables to related parties

2022	Other related parties £
Purchases from related parties	1,368,577
	1,368,577

2021	Other related parties £
Purchases from related parties	4,305,530
	4,305,530
Amounts payable to related parties	16,240,045

Loans from related parties

2022	Other related parties £
Advanced	17,000,000
Interest transactions	401,143
At end of period	17,401,143

27 Parent and ultimate parent undertaking

The company's immediate parent is Bristol City Holdings Limited, incorporated in England & Wales.

The ultimate parent is Pula Limited, incorporated in Guernsey.

The most senior parent entity producing publicly available financial statements is Bristol City Holdings Limited. These financial statements are available upon request from its registered office at Ashton Gate, Bristol, BS3 2EJ.

The ultimate controlling party is Mr & Mrs S P Lansdown by virtue of their majority shareholding in Pula Limited, the ultimate parent company.